



Market Monitor

No.31 – September 2015

www.amis-outlook.org

*The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](http://amis-outlook.org). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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World Supply-Demand Outlook

Despite concerns about a strong El Niño event, global supply and demand prospects continue to point to comfortable market conditions in 2015/16 for all AMIS crops, as evidenced by further sharp falls in international prices. Slowing economic growth in China, together with turbulences in global financial markets and steep declines in oil prices also contributed to weaker prices in agricultural markets.

	From previous f'cast	From previous season
Wheat	▲	▲
Maize	▲	▲
Rice	▲	▼
Soybeans	▼	▲

▲ Easing ■ Neutral ▼ Tightening

WHEAT	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast		
		12-Aug		27-Aug		9-Jul	10-Sep	
Production	725	727	720	720	733	723	728	
Supply	919	936	909	922	920	921	930	
Utilization	709	715	707	716	713	721	722	
Trade	165	156	153	148	156	151	150	
Ending Stocks	210	221	202	206	201	198	202	

- **Wheat** production in 2015 adjusted upwards by 5 million tonnes on much higher outputs in the EU, Russian Federation and Ukraine, as well as improved prospects in Australia.
- Utilization in 2015/16 to exceed the previous season level, mostly on larger supplies boosting consumption in Asia.
- Trade in 2015/16 (July/June) falling more than it was forecast in July, driven by lower import requirements in Iran, Morocco and Turkey than anticipated earlier.
- Stocks (ending in 2016) now expected to exceed their opening levels and reach a 13-year high, consistent with the recent upgrading of production forecasts.

MAIZE	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast		
		12-Aug		27-Aug		9-Jul	10-Sep	
Production	1006	986	1003	968	1029	1007	1011	
Supply	1181	1183	1180	1170	1218	1230	1230	
Utilization	984	988	978	972	989	1007	1007	
Trade	129	123	125	126	128	122	125	
Ending Stocks	197	195	202	198	224	221	226	

- **Maize** production revised upwards, as favourable weather raises prospects in Argentina, Brazil and the US, more than offsetting worsening expectations in the EU.
- Utilization in 2015/16 to exhibit a modest growth, supported mainly by expanding feed use, especially in Argentina, Brazil, China and Mexico.
- Trade in 2015/16 (July/June) upgraded, on significantly higher forecasts for imports by the EU.
- Stocks (ending in 2016) raised sharply to a new record, mostly on higher projected inventories in Argentina, Brazil, India and the US.

RICE (milled)	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast		
		12-Aug		27-Aug		9-Jul	10-Sep	
Production	476	479	479	479	497	499	501	
Supply	584	579	591	585	679	676	679	
Utilization	484	488	485	488	501	507	510	
Trade	42.2	41.9	43.0	42.0	42.0	42.1	42.1	
Ending Stocks	100	91	106	97	179	169	170	

- **Rice** production in 2015 scaled up on higher forecast for India, with global growth still predicted to be modest, at less than 1 percent.
- Utilization in 2015/16 higher than last anticipated, on larger food use, now fostering a small increase from 2014/15 in per caput consumption.
- Trade to remain steady as declining imports by countries in Asia and South America compensate for increased deliveries to African countries.
- Stocks (ending in 2016) revised slightly upwards, on higher expected inventories in the Philippines.

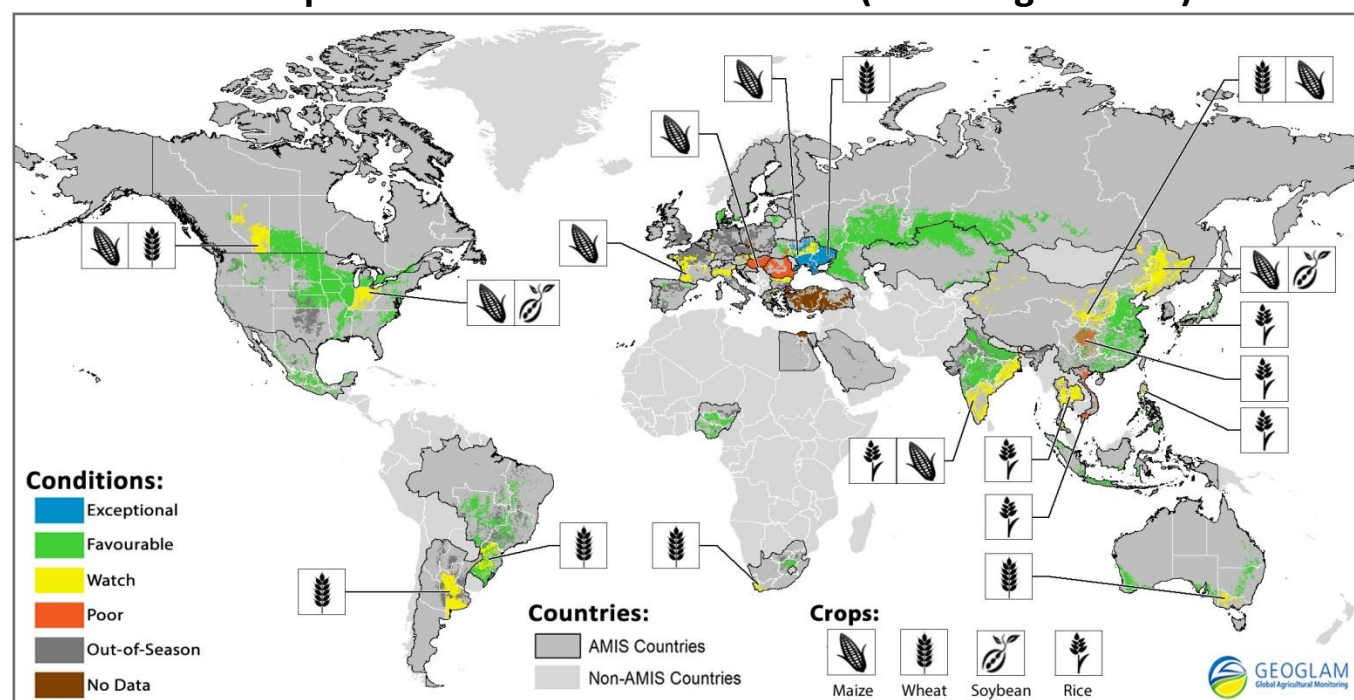
SOYBEANS	million tonnes							
	USDA		IGC		FAO-AMIS			
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16		
	est.	f'cast	est.	f'cast	est.	f'cast		
		12-Aug		27-Aug		9-Jul	10-Sep	
Production	319	320	322	318	320	316	318	
Supply	382	401	353	361	353	368	366	
Utilization	297	310	310	317	304	315	317	
Trade	124	127	122	125	124	124	125	
Ending Stocks	81	87	43	44	48	52	49	

- **Soybean** 2015/16 production poised to fall marginally below the 2014/15 record. 2015/16 forecast raised slightly on improved prospects in the US and Brazil.
- Utilization anticipated to expand by 4 percent in 2015/16, only half the rate recorded in 2014/15. Growth continues to concentrate in Asia and South America.
- Trade 2015/16 forecast raised slightly but still pointing a small increase from 2014/15, mainly reflecting slower growth in China's import demand.
- Stocks (2015/16 carry-out) adjusted downward on lower estimates for Argentina and Brazil, but still faring 3 percent above the all-time record set in 2014/15.

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Crop Monitor

Crop Conditions in AMIS countries (as of August 28th)



Crop condition map synthesizing information for all four AMIS crops as of August 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Highlights

Wheat - In the northern hemisphere, conditions remain favourable as the season draws to a close, with the exception of China, and Canada where spring wheat conditions are somewhat below average due to lack of rain. In the southern hemisphere, conditions are favourable with the following exceptions. In Argentina there is some concern over excess rain in central regions. In Brazil, there is some concern in parts of the south due to lack of rain, and in South Africa, conditions are mixed due to slightly below average rainfall.

Maize - In the northern hemisphere, conditions are mixed. In Ukraine, conditions are mixed due to persistent dryness and high temperatures in western and northern regions. In the EU, conditions are mixed in large part due to a heat wave at the beginning of August. In India, there are some areas of moisture stress in the south. In Canada, yields are expected to be somewhat below normal or close to average. In the southern hemisphere, conditions continue to be generally favourable.

Rice - Conditions remain mixed in part due to El Niño conditions affecting large parts of Asia. In China, conditions are mixed with some poor conditions in the southwest due to excess rainfall and lack of sunshine. In Thailand, there is concern due to lack of rain and irrigation water. In Viet Nam, the wet season crop planted in summer is in poor conditions due to a drought that is considered to be the worst in the last 40-years and in the Philippines, below average rainfall in the northern region is affecting crop conditions.

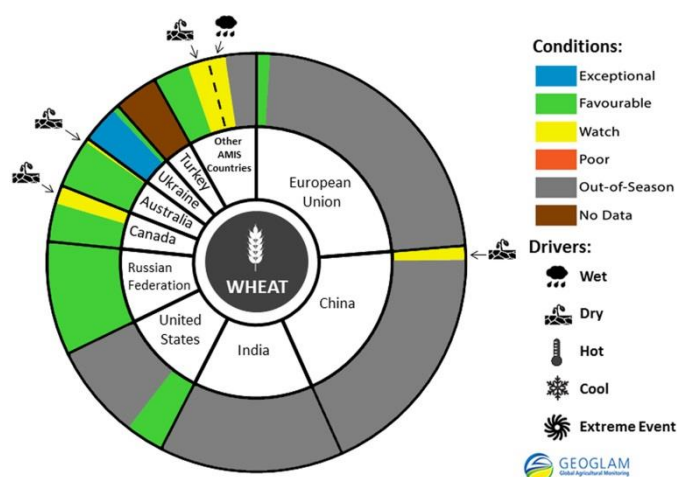
Soybeans - Conditions are generally favourable in the northern hemisphere with only a few problematic areas. In the US, there is a minor concern in the eastern Corn Belt region. In China, conditions are mostly favourable except in the northeast region. In Canada, yields are below normal but are offset by increased planted area. In India, conditions are generally favourable.

Within the top four strongest El Niño since 1950

Models indicate that the current El Niño event is likely to be in the top four strongest events since 1950. El Niño can have both positive and negative impacts on growing conditions, depending on the region, season, timing and strength. El Niño has already affected growing conditions, particularly in Asia, with drier than average conditions in parts of India, Thailand, Viet Nam and the Philippines, and these conditions are forecast to continue and spread to Indonesia. North-central China has experienced below average rainfall, impacting spring and summer crops, whereas parts of southern China have experienced much wetter than average conditions. In Australia, El Niño is generally associated with reduced precipitation in the east and warmer temperatures in the south. However, increased sea surface temperatures across the Indian Ocean are likely moderating these conditions and therefore, to date conditions have been largely favourable for winter crops, though continued rain in coming weeks will be critical. In southern Africa, El Niño traditionally results in below average rainfall during the main growing season (maize), and in South America, it generally results in wetter than normal conditions during summer months (soy and maize season) in southern Brazil and Argentina, and drier than normal conditions in northern Brazil. In North America most effects are expected during the upcoming winter season, with warmer than average temperatures expected across Canada and the northern US, and wetter than average conditions across the southern half of the US. Over Central Asia El Niño generally increases chances of above average rainfall and snowfall-providing abundant water for growing crops, but also increasing the probability of spring flooding.

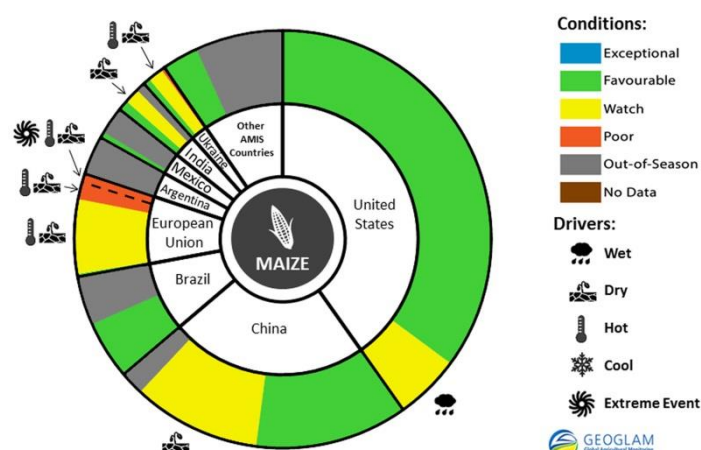
Wheat In the *northern hemisphere*, overall conditions remain favourable as the season draws to a close. In the **EU**, winter wheat prospects have improved owing to favourable weather in the northern regions. In the remaining regions the season has ended. In the **US**, harvest is nearly complete and prospects are quite good throughout, particularly in North and South Dakota. In **China**, conditions are generally below average for spring wheat, which is in maturity to harvest stages, due primarily to significantly below average rainfall in the northern region. In the **Russian Federation**, harvest is ongoing for spring wheat and prospects are good despite some dry weather in August in parts of the country. Winter wheat planting has started, with some complications due to rain and dry top soil. In **Ukraine**, harvest is complete for winter wheat with much above average yields and winter wheat planting has started. In **Canada**, spring wheat yields are below average nationally, with some recovery from drought conditions in western Canada in August due to large precipitation events in the Prairie region that helped reduce the extent and severity of the summer drought. Harvests are ahead of normal in many areas. In **Kazakhstan** conditions are good owing to favourable weather throughout the growing season. Harvest will begin in September. In the *southern hemisphere*, overall conditions are mostly favourable. In **Australia**, conditions remain generally favourable, and the crop is in vegetative to reproductive stages. Above average rains stabilized yield prospects in Western Australia and South Australia where crops had been stressed from an unusually dry June and early July. In contrast, conditions deteriorated across some southern growing regions during August, due to rainfall deficits particularly in Victoria. Timely rainfall over the next two months will be critical for sustaining crops through to harvest in a number of regions. In **Argentina**, conditions are favourable though there is some concern due to excess rainfall in central regions. Winter wheat planting is complete and crop is in vegetative stages. In **Brazil**, conditions are mostly favourable and planted area is down relative to last season. There is some concern in parts of the southern growing region due to recent lack of rain. In **South Africa**, conditions are mixed due to slightly below normal rainfall in the main production region and overall yields are expected to be below average.

Wheat conditions for AMIS countries as of August 28th.



For detailed description of the pie chart please see box on page 4.

Maize conditions for AMIS countries as of August 28th.



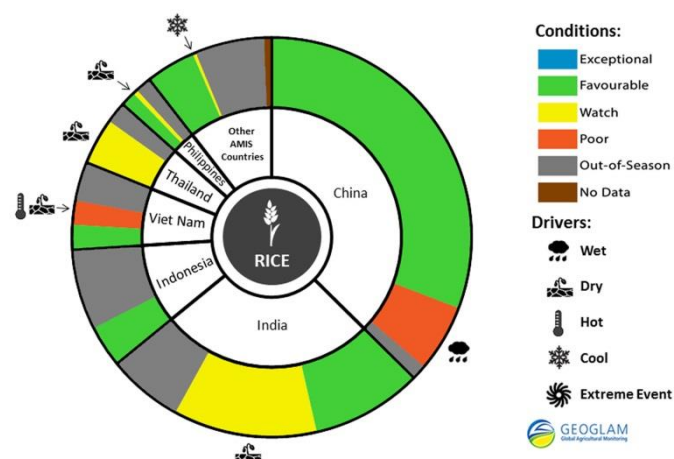
For detailed description of the pie chart please see box on page 4.

conditions. In **India**, conditions are generally favourable with the exception of some areas in the south, which are experiencing significant moisture stress. In **Mexico**, conditions are generally favourable for the spring-summer planted crop with some areas of delayed planting due to limited soil moisture. In **Canada**, yields are expected to be somewhat below or close to average, due to a decrease in seeded area and unfavourable growing conditions in some regions. In **Nigeria**, conditions are favourable owing to good rainfall conditions. In the southern hemisphere, conditions continue to be generally favourable. In **Brazil**, conditions are good for the summer-planted crop, which is in ripening through harvest stages. Increased planted area and good yield will result in increased production this season.

Maize In the *northern hemisphere*, conditions are mixed. In the **US**, the crop is progressing quite favourably with little concern other than in localized areas within the eastern Corn Belt due to excess moisture. In **China** conditions are overall favourable with the exception of parts of the northern growing regions, which experienced below average rainfall since June. The spring-planted crop is in the grain-filling to milking stages and the summer-planted crop is in the flowering stage. In **Ukraine**, conditions are mixed due to persistent dryness and high temperatures in western and northern regions primarily impacting the late-planted crop. Conditions are favourable in the rest of the country and harvest is ongoing. In the **EU**, conditions are mixed due to a heat wave at the beginning of August. In eastern European countries, recent rain led to a partial recovery of crop

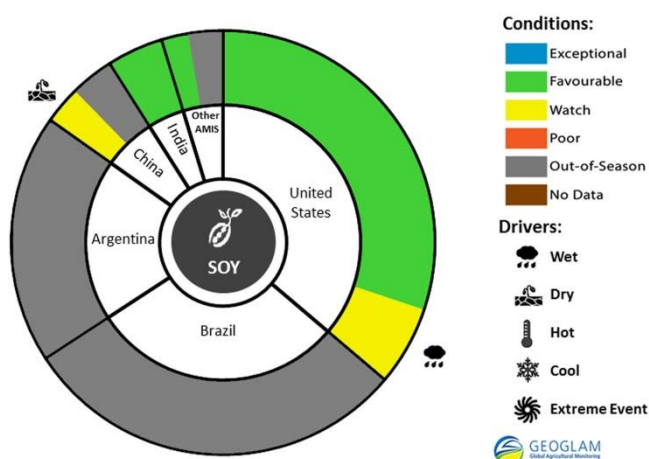
Rice Conditions remain mixed in part due to the current El Niño affecting large parts of Asia. In **India**, conditions are generally favourable except for some areas in southern and eastern regions experiencing significant moisture stress. In **China**, conditions are mixed. In the northeast, conditions are average and in the southwest, conditions are poor due to excess rainfall and lack of sunshine. In the southeast, despite heavy rain, conditions are average. In **Thailand**, there is concern over the wet season rice due to a shortage of rainfall and irrigation water, resulting in delayed development and reduced yield potential. This concern is most pronounced in the Northeast and Central regions. There is also a significant reduction in planting of the dry season rice due to the dry conditions, which are attributed to the ongoing El Niño. In **Viet Nam**, poor conditions for the summer-autumn wet season rice, are attributed to El Niño. High temperatures and dry conditions caused planting delays, and yield potential is expected to be reduced. The drought is considered to be the worst in the last 40 years. In contrast, the autumn-winter planted wet season crop is in generally favourable condition. In the **US**, conditions are favourable and harvest is in progress. In **Indonesia**, conditions for the dry season rice are favourable and the crop is in vegetative to maturity stages. In the **Philippines**, the wet season crop is in mostly favourable condition even though there has been below average rainfall in the northern regions. There are concerns over continued dryness due to El Niño. In **Japan**, conditions are mostly favourable except for some areas in the south due to low temperatures and lack of sunshine.

Rice conditions for AMIS countries as of August 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of August 28th.



For detailed description of the pie chart please see box below.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the "Other AMIS Countries" category. The proportion within each national slice is coloured according to the crop conditions within a specific growing area; grey indicates that the respective area is out of season. Sections within each slide are weighted by the sub-national production statistics (5-year average) of the respective country. The section within each national slice also accounts for multiple cropping seasons (i.e. spring and winter wheat). When conditions are other than 'favourable', icons are added that provide information on the key climatic drivers affecting conditions.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IIRI), Japan (JAXA), Mexico (SIAP), Russian Federation (IKI), South Africa (ARC & GeoTerraImage & SANSA), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA/FAO crop calendars.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org.

For information on country coverage and criteria: <http://geoglam-crop-monitor.org/pages/about.php?target=approach>

For more information regarding the new crop monitor and pie charts: <http://geoglam-crop-monitor.org/pages/about.php?target=maps-charts>

Soybeans In the *northern hemisphere*, where harvesting is about to start, conditions remain mostly favourable. In the **US**, the crop is in good condition throughout the country with some minor wet conditions in parts of the eastern Corn Belt region. In **China**, conditions are mostly favourable except in the northeast region due to a shortage of rainfall. In **Canada**, yields are expected to be below normal, due to delayed seeding in many areas due to cold wet weather conditions. Due to an increase in the seeded acreage, final production numbers may yet be close to average. In **India**, conditions are generally favourable except for a few areas experiencing significant moisture stress.

Policy Developments

WHEAT

- **Argentina** issued export licenses for 500,000 tonnes of wheat. Wheat farmers adversely affected by floods will benefit from USD 4.3 million in tax breaks.
- **Egypt** will import wheat from Ukraine in exchange for cotton. A new wheat procurement system starting in April 2016 should provide subsidies directly to farmers.
- In **India**, 28.1 million tonnes of wheat have been procured during the 2015/16 marketing year. A 10 percent import duty on milling wheat was introduced from 7 August, to be in place until 31 March 2016.

RICE

- A ban on rice exports was introduced in **Egypt** on 1 September. The ban excludes broken rice varieties.
- Following droughts in **Indonesia**, rice farmers will receive IDR 3.5 trillion (USD 250 million).
- As part of the Trans Pacific Partnership free trade agreement discussions, **Japan** is considering to allow imports of less than 100,000 tonnes of rice from Australia and the United States.
- On 11 August, **Thailand** opened a tender to sell 668,000 tonnes of rice from public stocks, of which 427,000 tonnes were sold. Another tender will be opened on 8 September for about 732,000 tonnes. A deal was reached for exports of 760,000 tonnes of rice to several countries in Africa. A government-to-government deal was reached to export 1 million tonnes of rice to **China**.

MAIZE

- **Argentina** approved the exports of an additional 7.0 million tonnes of 2014/15 maize, bringing the total volume approved for shipment to 18.5 million.
- On 27 July, **Indonesia** stopped issuing feed-maize import permits. Temporary rules allowing only the State Procurement Agency to import maize from 2016 were also announced.

SOYBEANS

- In line with the commitments assumed in the WTO, the **Russian Federation** reduced export duties on soybeans to zero, down from 6.67 percent.
- On 10 August, **Viet Nam** announced the results of the mid-term review concerning the application of safeguard measures (additional tariffs) on refined soy and palm oil imports. The safeguard measures had been introduced in 2013 in response to concerns from domestic producers and refiners. The current countervailing duty of 3 percent is scheduled to be progressively reduced and phased out in May 2017.

BIOFUELS

- Starting in 2016, **Australia** will progressively introduce excise taxes for biodiesel over a period of 16 years.

ACROSS THE BOARD

- On 4 August, the **EU** and **Viet Nam** agreed in principle on a Trade and Investment Agreement which includes a tariff rate quota for rice imports from Viet Nam. The legal text is yet to be finalised and approved.
- The first intervention purchases of grain from the 2015 crop began on 18 August, 2015 in the **Russian Federation**.
- On 16 July 2015, the Biosafety Board of **Turkey** approved feed imports made of three maize and two soybean genetically-modified products. This will enable the release of previously blocked shipments and facilitate future soybean and meal imports.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	Aug 2015 Average*	% Change	
		M/M	Y/Y
GOI	191	- 6.3%	- 19.8%
Wheat	172	- 9.0%	- 21.9%
Maize	178	- 7.8%	- 8.5%
Rice	154	- 2.4%	- 18.0%
Soybeans	188	- 5.1%	- 23.7%

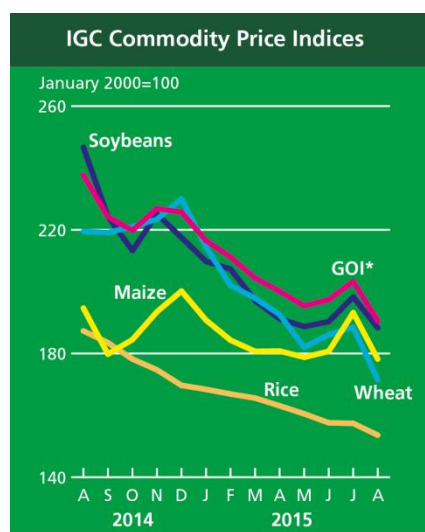
*Jan 2000=100, derived from daily export quotations

Wheat: The IGC GOI wheat sub-Index posted a net decline of 9 percent m/m. As the northern hemisphere harvest moved into its latter stages, world wheat export prices were seasonally weak, exacerbated by strengthening expectations that global output will be a record and that carryover stocks will be close to all-time peaks. Harvest results in the EU and the Black Sea region, in particular, exceeded expectations, while worries eased about the impact of El Niño on crops in Australia. Subdued export interest added to the bearish tone, with some sellers reported to be concluding deals at very competitive levels to secure business. The Black Sea region featured regularly in reported export sales. Although the pace of shipments by Russia was said to be somewhat slower than normal, partly attributed to the new export tax, the country's marketing year exports were still seen likely to reach record levels.

Maize: World maize export prices moved lower in August, and with weakness at all major origins, the IGC GOI sub-Index was down by 8 percent m/m. US values were particularly weak, falling by almost 10 percent amid mostly favourable 2015/16 production prospects and ongoing strong competition for export business. With more freshly harvested supplies entering the export pipeline, prices in South America also eased. Encouraged by currency weakness and large spot availabilities, farmers in Brazil have already committed large amounts for export, with shipments expected to accelerate during the next few months. Black Sea quotations were lower too, but with losses capped by expectations for solid EU import demand and concerns about earlier unfavourably hot and dry weather in parts of Ukraine.

Rice: Across much of Asia and the Americas, white and parboiled rice export values weakened during August, with quotations at some origins at their lowest since late 2007. Currency movements and the release of state reserves by the Thai government pressured, while some exporters lowered offer prices in a bid to stimulate buying interest. Despite light support from worries about lagging monsoon rains, especially in India, the IGC GOI rice sub-Index fell by around 2 percent m/m, taking the annual drop to about 18 percent.

Soybeans: Against the backdrop of plentiful availabilities and heightened worries about the outlook for trade, the IGC GOI soybeans sub-Index fell by 5 percent in August, with values down by almost one-quarter y/y. Prospects for another bumper US crop and comfortable supplies, highlighted by USDA's bearishly-interpreted WASDE report, weighed on sentiment, as did worries about slowing economic growth in China and its likely impact on future imports. Physical values in South America were also weaker, but declines were trimmed by firm international demand.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100)						
2014	August	237.7	219.5	194.7	187.3	246.7
	September	224.2	219.1	179.8	183.5	224.3
	October	219.8	221.0	184.5	178.2	213.3
	November	226.9	223.4	193.5	174.7	225.1
	December	225.7	230.0	200.2	169.7	217.5
2015	January	216.5	214.4	190.8	168.4	209.8
	February	211.2	202.0	184.3	166.9	207.3
	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7
	June	197.4	186.1	180.7	157.6	190.3
	July	203.3	188.5	193.2	157.4	198.3
	August	190.5	171.5	178.2	153.6	188.3

*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices - nearby

	Aug 2015 Average	% Change	
		M/M	Y/Y
Wheat	183	-8.8%	-8.7%
Maize	145	-9.5%	2.3%
Rice	226	4.1%	-25.0%
Soybeans	347	-6.8%	-19.9%

Source: CME – USD per tonne

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	Aug 2015	Jul 2015	Aug 2014
Wheat	31.1%	41.2%	33.3%
Maize	35.2%	32.9%	22.5%
Rice	20.4%	21.2%	32.1%
Soybeans	33.4%	25.0%	39.8%

Futures Prices

Prices for wheat, maize and soybeans declined in August with maize falling the most, at about 10 percent below July prices. However, rice values rose, reacting to the latest USDA forecast that projected a 7 percent decline in the US production this crop year. Relatively neutral US growing conditions, an economic slowdown in China and depressed commodity prices across the board tended to weigh on maize and soybeans futures. The nearby wheat values averaged nearly 9 percent below the previous month on ample world supply even as US, Canada and Argentina reported a drop in production.

Volumes and Volatility

Volumes were little changed m/m for wheat, maize and soybeans but were higher y/y for all three commodities. Historical Volatility registered in the low 30s, declining in wheat and rising in maize and soybeans.

Forward curves

Forward curves for wheat and maize maintained their mostly upward sloping structures (contango). Wheat, however, experienced an inversion of July over September during July expiration as harvest quality was reported to have high levels of vomitoxin (prompting commercials to maintain long positions into the delivery month). The price structure for soybeans flattened following July expiration to a mild nearby inversion (backwardation), reflecting a softening of export and crushing demand prior to harvest.

Basis levels

Basis levels for maize remained at discounts to futures, indicative of adequate carryover stocks as harvest began in southern regions. Soybean basis levels declined m/m as crushing plants also prepared for harvest. In wheat, Ohio millers paid premiums over futures for good quality wheat while river terminals posted bids at significant discounts, showing the division between domestic and export markets. Freight markets, including barge and rail, showed improved efficiency and lower rates m/m according to the Department of Transportation.

Investment flows

Managed money reduced its net long positions in maize and soybeans, while maintaining a modest net long position in wheat. Commodities in general lost further favour with investors and money managers as crude oil and copper reached multi-year lows.

Monthly US Ethanol Update

- **Gasoline price** dropped sharply in August in conjunction with oil prices which moved down over the course of the month and into September, falling to under 50 USD a barrel.
- Falling gasoline prices pulled **ethanol prices** lower.
- With recent USDA reports suggesting a large maize crop and market perception of more benign weather, maize prices trended lower through August.
- Lower **maize prices** offset the decline in ethanol prices, resulting in a modest improvement in margins, but they remain near break-even levels.
- **Ethanol production** is down month over month and has been trending modestly lower through the month of August, but remains well above year ago levels for the month.

Spot prices

IA, NE and IL/eastern corn belt average

Aug 2015*

Jul 2015

Aug 2014

Maize price (USD per tonne)	142.05	153.71	141.04
DDGs (USD per tonne)	161.26	155.50	123.92
Ethanol price (USD per gallon)	1.43	1.50	2.12

Nearby futures prices

CME, NYSE

Ethanol (USD per gallon)	1.45	1.57	2.12
RBOB Gasoline (USD per gallon)	1.59	1.93	2.74
Ethanol/RBOB price ratio	91.4%	81.5%	77.4%

Ethanol margins

IA, NE and IL/eastern corn belt average, USD per gallon)

Ethanol receipts	1.43	1.50	2.12
DDGs receipts	0.45	0.44	0.35
Maize costs	1.31	1.42	1.30
Other costs	0.55	0.55	0.55
Production margin	0.02	-0.03	0.62

Ethanol production

(million gallons)

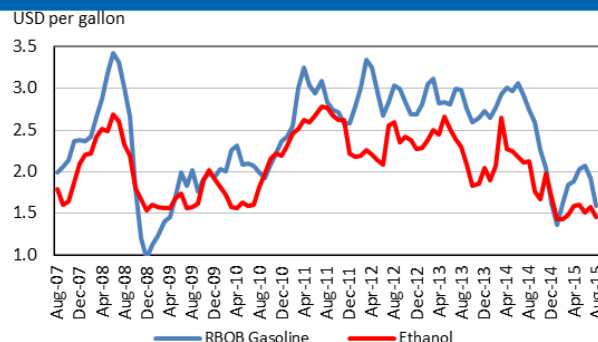
Monthly production total	1,263	1,279	1,217
Annualized production pace	14,874	15,055	14,175

Based on USDA data and private sources. * Estimated using available weekly data to date.

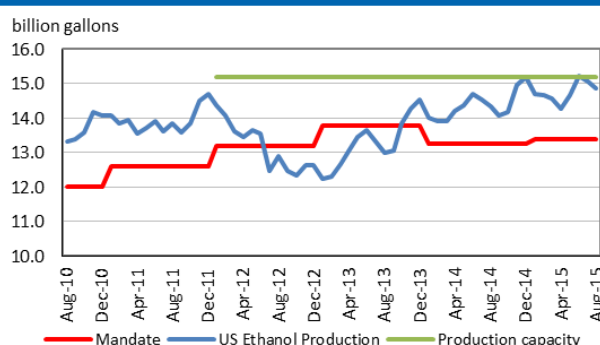
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

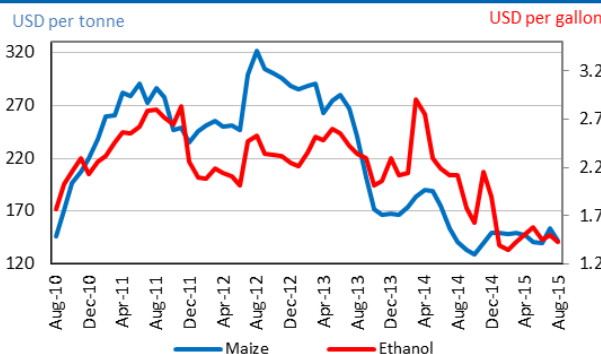


Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

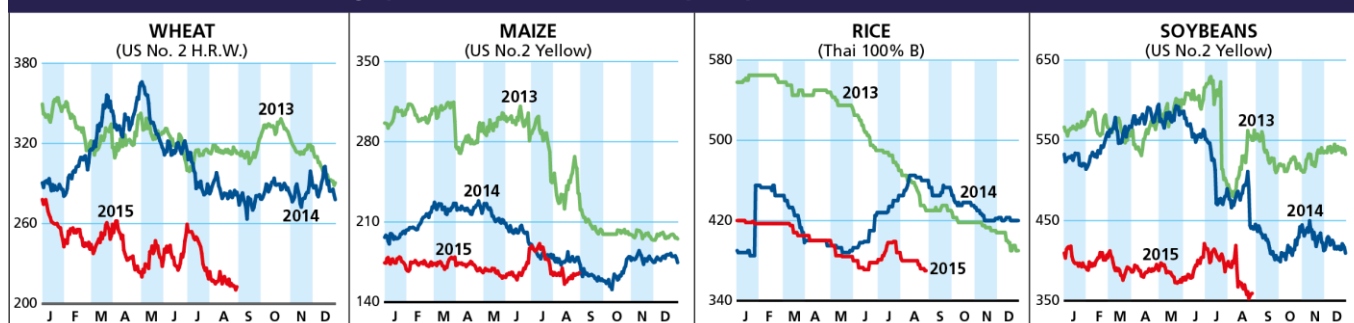
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

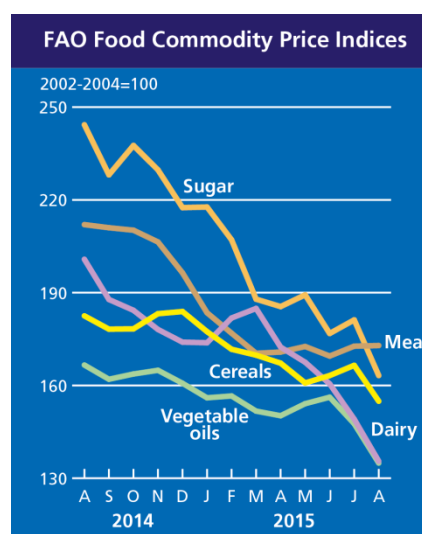
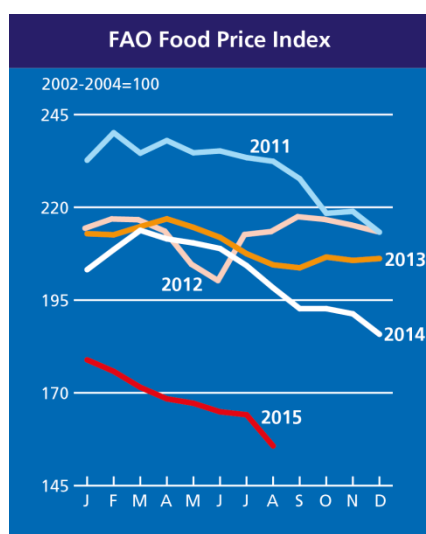
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2013-2015)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	07-Sep	217	213	218	283	1.9%	-23.4%
Maize (US No. 2, Yellow)	08-Sep	161	162	164	166	-0.5%	-2.8%
Rice (Thai 100% B)	08-Sep	362	365	380	445	-0.8%	-18.7%
Soybeans (US No. 2, Yellow)	07-Sep	356	359	406	440	-0.9%	-19.2%



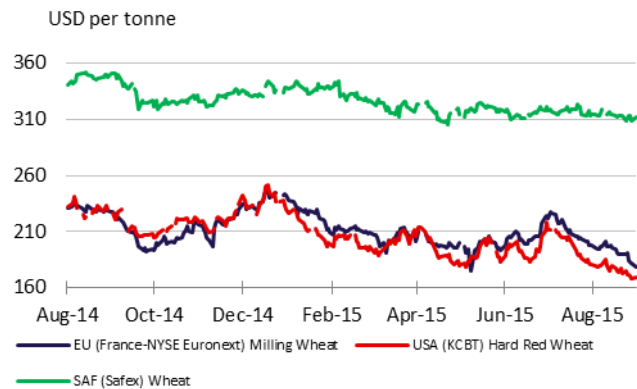
FAO food price indices

Food Price Index		Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)						
2014	August	198.3	212.0	200.8	182.5	244.3
	September	192.7	211.0	187.8	178.2	228.1
	October	192.7	210.2	184.3	178.3	237.6
	November	191.3	206.4	178.1	183.2	229.7
	December	185.8	196.4	174.0	183.9	217.5
2015	January	178.9	183.5	173.8	177.4	217.7
	February	175.8	176.9	181.8	171.7	207.1
	March	171.5	170.4	184.9	169.8	187.9
	April	168.4	170.8	172.4	167.2	185.5
	May	167.2	172.6	167.5	160.8	189.3
	June	164.9	169.5	160.5	163.2	176.8
	July	164.2	172.7	149.1	166.5	181.2
	August	155.7	172.9	135.5	154.9	163.2

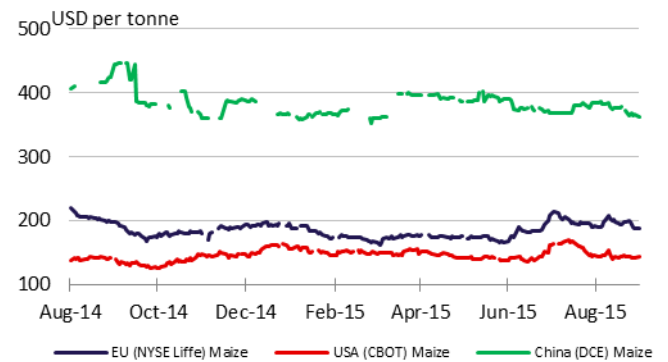
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

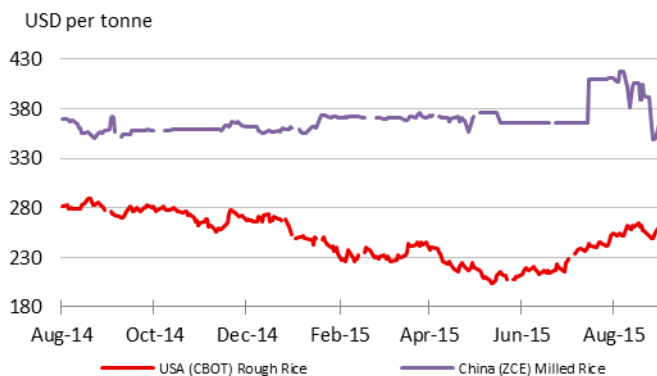
Wheat



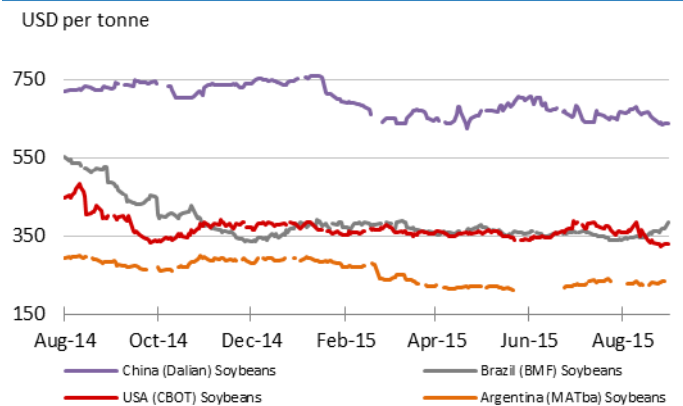
Maize



Rice

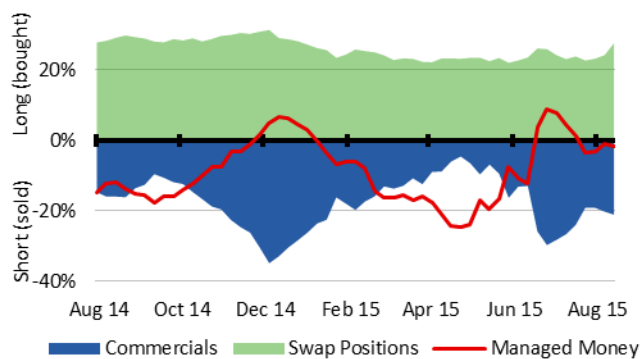


Soybeans

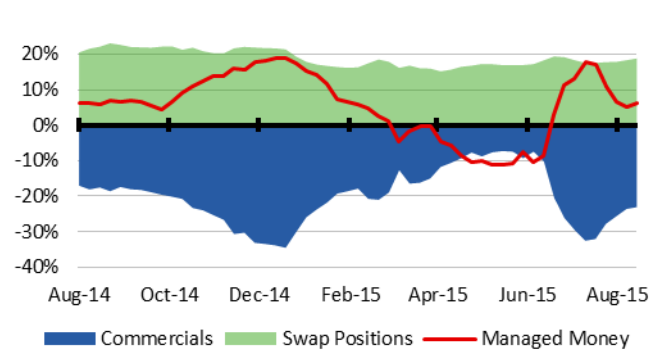


CFTC Commitments of Traders - Major Categories Net Length as percentage of Open Interest*

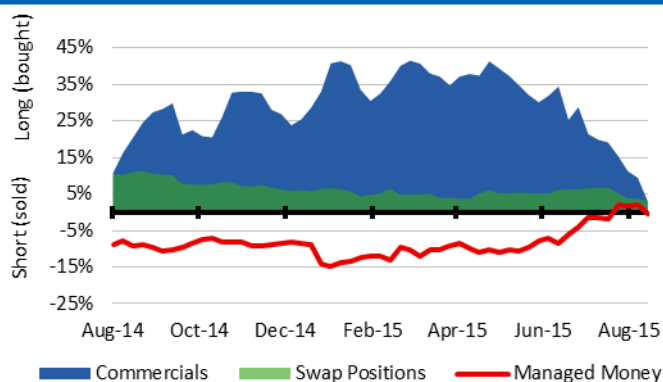
Wheat



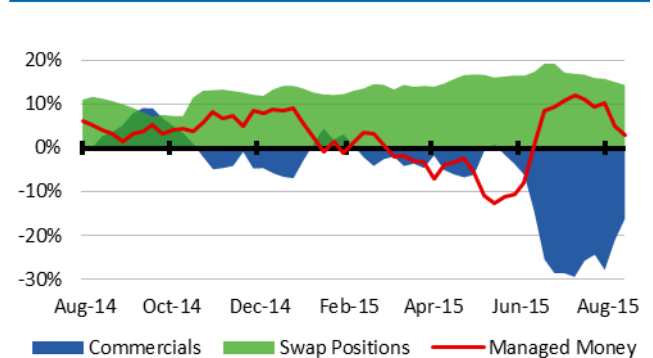
Maize



Rough Rice

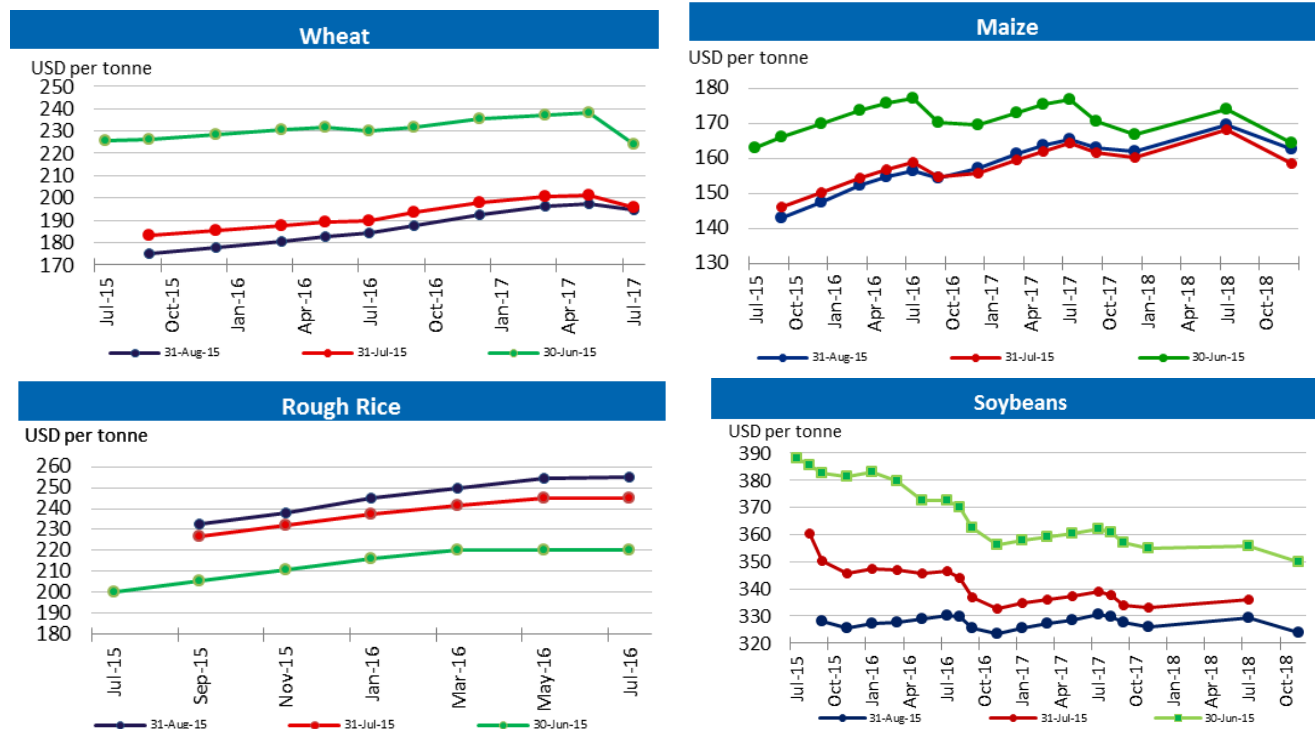


Soybeans

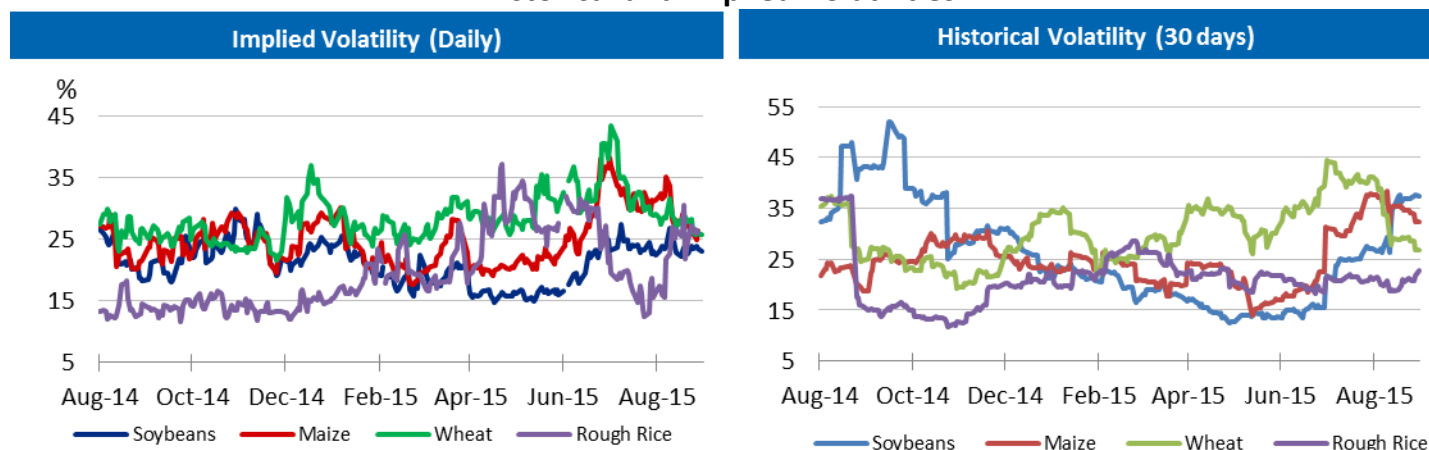


* Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14	2014/15 est	2015/16 f'cast*
	thousand tonnes									
Maize Production	267,503	331,177	307,142	332,550	316,166	313,956	273,188	351,270	361,101	347,638
Ethanol Use	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,409	131,085	133,355
Yearly ethanol use change (%)	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.6%	1.3%	1.0%
As Production (%)	20%	23%	30%	35%	40.3%	40.5%	43.1%	37.1%	36.6%	38.4%

Source: WASDE-USDA. *12 August 2015

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: In general, ending stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2015 Release Dates

05 February, 05 March, 02 April, 07 May, 04 June, 09 July, 10 September, **08 October**, **05 November**, **03 December**

AMIS Crop Calendar

Largest producers*		J	F	M	A	M	J	J	A	S	O	N	D
WHEAT	EU (21%) (spring)												
	(winter)												
	China (17%) (spring)												
	(winter)												
	India (12%) (winter)												
	USA (9%) (spring)												
MAIZE	Russia (8%) (winter)												
	USA (36%)												
	China (21%) (north)												
	(south)												
	Brazil (7%) (1st crop)												
	(2nd crop)												
RICE	EU (7%)												
	Mexico (3%) (spring-summer)												
	(autumn-winter)												
	China (29%) (intermediary crop)												
	(late crop)												
	India (21%) (kharif)												
SOYBEANS	(rabi)												
	Indonesia (9%) (main Java)												
	(second Java)												
	Viet Nam (6%) (winter-spring)												
	(autumn)												
	(winter)												
SOYBEANS	USA (35%)												
	Brazil (28%)												
	Argentina (18%)												
	China (6%)												
	India (4%)												

* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

Contacts and Subscriptions

AMIS Secretariat

Email: AMIS-Secretariat@fao.org

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